HANGS Construction Services LLC

Management Inquiries

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Journal entries and management override · asked September 23, 2026 · answered September 24, 2026

Asked on:	**September 23, 2026**
Answered on:	**September 24, 2026**
Asked by:	**The audit team**
Status:	**Answers as given; not representations**

Q1. Who can post a manual journal entry, and does the system require an approval?

Q1 answered by Dana Whitfield, Controller: Marisol and I post. The approval step in the system is off; whoever approves types their name in the Approved by field. Jordan approves mine when I ask him.

Q2. Entry 26-01253 (AJ-26-0605, over and under billings) was posted on Sunday, July 5, 2026. Why?

Q2 answered by Dana Whitfield, Controller: Friday July 3 was the holiday. I closed June over the weekend so the subledgers could close on Monday the 6th. The entry is the June 30 contract schedule’s over and under billings.

Q3. Entry 26-01261 (AJ-26-0633, $48,000.00 to Pier 9 revenue) was posted on Saturday, August 8, 2026 at 9:41 PM, after the August 3 close, and reverses on July 2. What supports it?

Q3 answered by Dana Whitfield, Controller: The Pier 9 project manager told me June work on the CO-07 hold-downs was not in the schedule. I booked it so June revenue matched what he expected and set it to reverse until his estimate came in. I do not have the estimate yet.

Q4. Entry 26-01259 (AJ-26-0631, the $26,900.00 depreciation true-up) shows you as preparer and approver. Why?

Q4 answered by Dana Whitfield, Controller: Jordan was out that week. It lowered expense to agree with the register, so I approved it myself.

Q5. Were you asked to approve any FY2026 year-end entries, and are you aware of any entry made outside the normal process?

Q5 answered by Jordan Hale, Chief Financial Officer: I was not asked to approve any year-end entries. I am not aware of any entry outside the normal process. I did not know about the August 8 entry.

Q6. Is there pressure on the FY2026 results, from the bank or anyone else?

Q6 answered by Jordan Hale, Chief Financial Officer: The bank tests the covenants on the June 30 statements, and the officers watch the margin on Pier 9. The compliance certificate went to the bank on August 10.

Demonstration document. Every name and figure is invented.